PAYMENTS · INDIA · PROPOSAL

Pending, not lost

Recovering the sale, not just the money, when a UPI payment gets stuck. For B2B payment companies such as Razorpay and Pine Labs.

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EXECUTIVE SUMMARY

SCALE	Roughly **80 lakh** UPI payments a month (73–90 lakh, Sep 2025–Aug 2026) are not confirmed in real time by the receiving bank.
PROBLEM	The money is recovered by the rules. The **sale** is not: customers pay twice or walk away, and merchants cancel orders that later get paid.
GAP	NPCI allows at most **3 status checks** and sets no gap between them. Nobody owns what the customer and merchant see in the first hour.
PROPOSAL	**Hold, link, settle**: time the 3 checks for who is waiting, show "pending" with a time instead of "failed", and link any second payment to the first.
MEASURE	North Star: **Saved Sales Rate**, stuck payments that still end in a completed order, paid exactly once. 4-week 50/50 test by merchant.

Sources: NPCI Top-50 member performance (Jan 2024–Aug 2026); NPCI OC 215, 165, 39A; RBI TAT circular (20 Sep 2019); Razorpay and Pine Labs public pages.

The money from a stuck payment is recovered by the rules. The sale often is not.

Every party gets its money back eventually. What is lost happens in the first hour, before anyone knows the outcome.

EXHIBIT 1 · WHAT HAPPENS TODAY

₹2,000 EXAMPLE

1. **Customer pays**
   ₹2,000, online or by scanning a QR at the till.
2. **Receiving bank doesn't confirm**
   The credit is not confirmed in real time. The money has left the payer.
3. **Nobody knows the outcome**
   The customer's app says "pending"; the till stays quiet; an online checkout may show "failed".
4. **Customer acts**
   Pays a second time, or abandons the purchase.

EXHIBIT 2 · WHO BEARS THE COST

PARTY	WHAT IT LOSES	VISIBLE ON DASHBOARDS?
Customer	Certainty. Often pays twice to leave the shop, or gives up on the order.	Partly: support tickets
Merchant	The sale. Order cancelled though money lands later; double payment to return; goods handed over unpaid.	Rarely
Payment company	Merchant trust and retention, over time.	No

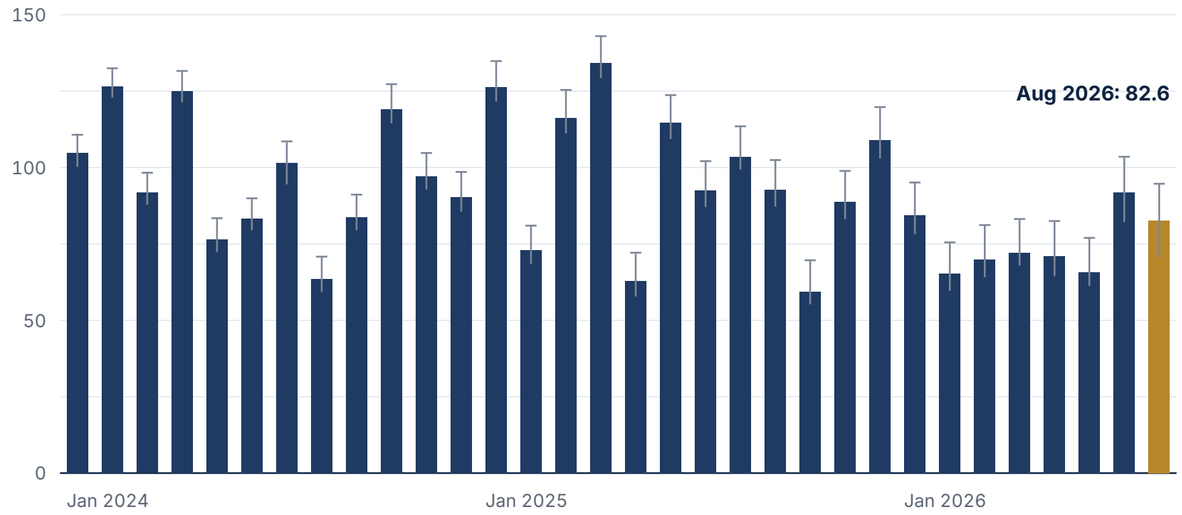
KEY TAKEAWAY

Nobody owns the first hour. Nobody tells the customer or the merchant when the answer will come, or what to do in the meantime.

Roughly 80 lakh UPI payments a month are not confirmed in real time. Volume growth has offset most of the improvement.

Comparing 12-month averages, the rate fell about 47% (6.9 → 3.7 per 10,000) but the monthly count fell only about 18% (97 → 79 lakh).

EXHIBIT 3 · PAYMENTS NOT CONFIRMED IN REAL TIME — LAKH PER MONTH, ESTIMATED



Bars: estimate (bank volume × NPCI's published %). Lines: range allowed by NPCI's rounding of each bank's % to 2 decimals. Source: NPCI Top-50 member performance, receiving banks.

EXHIBIT 4 · KEY FIGURES

MEASURE	VALUE	NOTE
Monthly average, Sep 2025–Aug 2026	**79.4 lakh**	range 73–90
August 2026	**82.6 lakh**	range 71–95
Last 12 months, total	**~9.5 crore**	
Rate per 10,000 payments, Jan 2024 → Aug 2026	**8.8 → 3.4**	fell by more than half
UPI volume, Aug 2026 vs Jan 2024	**2.03×**	top 50 receiving banks

DEFINITION AND CAVEATS

NPCI's **"deemed approved"**: *"credit confirmations are not received online from the beneficiary banks"*. It covers payments to people and to merchants; NPCI does not split them. Not all show as "pending": since June 2025, on-us merchant payments are shown as success (OC 39A).

The same rules apply at three very different counters, and each handles recovery better than the first hour.

EXHIBIT 5 · TODAY, BY SETTING

	CONSUMER UPI APPS	ONLINE CHECKOUT · E.G. RAZORPAY	SHOP COUNTER · E.G. PINE LABS
Who is waiting	The payer, alone	The shopper, and the merchant deciding whether to ship	The customer at the till, and the cashier
What they see today	Help pages ask users to wait from 30 minutes to 3 business days; refunds in 3–5 days	Payment marked "failed" after 10 minutes without a bank reply; polling continues for 3 days	The soundbox announces payments received; a stuck one gets no announcement
Already done well	Users are told not to pay again	Merchants choose auto-capture or refund of late money; timeout from 12 minutes to 3 days	Billing systems can pull or be pushed the status; 10 lakh cloud soundboxes announced 24 Sep 2026
Open gap	No time or due date shown	The order is decided before the money is	The cashier has no "wait" or "pay again" signal

EXHIBIT 6 · BINDING CONSTRAINTS

RULE	REQUIREMENT	IMPLICATION
NPCI OC 215 (Apr 2025)	First status check after 90 s; at most 3, preferably within 2 hours; no gap set between them. Applies to PSP and acquiring banks.	The timing of 3 checks is a product decision
NPCI OC 165	Acquirers must give merchants a real-time status check.	Merchant polling must be served without extra NPCI calls
RBI TAT circular (Sep 2019)	Failed payment to a merchant reversed by T+5; then ₹100 a day to the customer.	Every state needs a due date

Sources: help pages of large UPI apps (checked 3 Oct 2026); Razorpay docs and blog; Pine Labs developer docs; Trade Brains (24 Sep 2026); NPCI circulars; RBI.

Hold, link, settle: five changes that work within existing NPCI limits.

EXHIBIT 7 · THE CHANGES

#	CHANGE	WHAT IT DOES	STAYS WITHIN
1	**Read the payee**	Shop counter or online, from the QR's merchant code and how the payment started; never the display name	Uses existing payment data
2	**Time the 3 checks**	Counter: 90 s, 5 min, 118 min. Online: 90 s, 44 min, 118 min	Max 3, first after 90 s (OC 215)
3	**Pending, not failed**	"We'll confirm by 5:38 pm" instead of "failed"; the order is held until the 2-hour window closes	No change to settlement
4	**Pay again, safely**	A second payment is linked to the first; if both land, the extra is refunded automatically	Refund via existing refund rails
5	**Status from a cache**	Merchants can ask as often as they like; only the scheduled checks reach NPCI	Merchant status API (OC 165)

EXHIBIT 8 · OPTIONS CONSIDERED — RICE, AUTHOR'S ESTIMATES

OPTION	R	I	C	E	SCORE
A · Honest pending screen	10	1	80%	1	**8.0**
B · Hold, link, settle	10	3	60%	3	**6.0**
C · Merchant late-payment alerts	6	0.5	70%	1	**2.1**

Reach out of 10; impact 0.25–3; confidence; effort in person-months. To be re-scored with team data.

WHY B OVER A

A scores higher but only informs. Only B stops the double payment and the cancelled order. **A ships first, as the first step of B.**

OUT OF SCOPE

More checks; a new payment rail; replacing UDIR complaints or NPCI's MyUPI.

Every screen shows a time instead of "failed", and a second payment is always linked to the first.

EXHIBIT 9 · ONLINE CHECKOUT

CONCEPT

samplestore.in · Order #A1029

Payment pending

₹2,000

Your bank hasn't confirmed yet. **Please don't pay again.** We're holding your order and will confirm by **5:38 pm**. If it fails, ₹2,000 is back by 8 Oct.

Keep my order | Pay another way

The other way is linked to this order. If both go through, one is refunded.

Shown instead of "failed". The order is held, not cancelled.

EXHIBIT 10 · CARD MACHINE

CONCEPT

Bill #2041 3:42 pm

₹2,000

UPI pending · check 2 at 3:45 pm

UPI reference

4271 0398 5521

Don't hand over goods yet. No answer at 3:45 pm? The customer can pay again safely.

Wait | New linked QR

For payments the terminal started. Never shows "paid" before the bank does.

EXHIBIT 11 · CUSTOMER

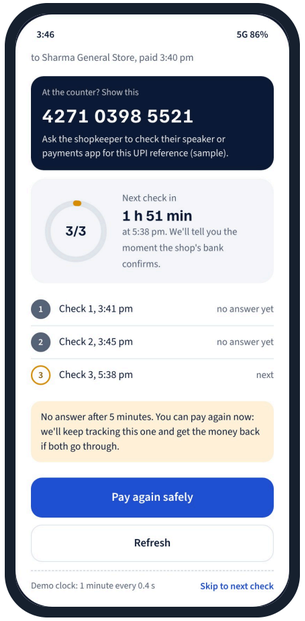


EXHIBIT 12 · CHECK SCHEDULE WITHIN THE 2-HOUR WINDOW

GOLD = THE CHECK THAT DIFFERS BY PAYEE



Exhibits 9–10 are concepts with an invented store; Exhibit 11 is from the clickable prototype. Sample data. Not affiliated with NPCI, Razorpay or Pine Labs.

One North Star: sales saved, paid exactly once. Four drivers, five guardrails, one 4-week test.

NORTH STAR

Saved Sales Rate

Stuck payments that still end in a completed order, **paid exactly once** / all stuck payments × 100. Not "fewer stuck payments": banks cause those; this changes what happens after.

EXHIBIT 13 · L1 DRIVERS

NO L2 NEEDED AT THIS STAGE

L1 METRIC	DEFINITION	TYPE
Known-in-Time Rate	Final status known within 2 h (5 min at a counter) / stuck payments	Leading
Unrefunded Duplicates	Double payments not refunded within 24 h, per 1,000 stuck	Leading
Late-Money Cancels	Orders cancelled though the money landed later / stuck payments	Lagging
"Where's my money" tickets	Support contacts per 1,000 stuck payments	Lagging

EXHIBIT 14 · GUARDRAILS

GUARDRAIL	MUST NOT GET WORSE
Give-up rate	cancelled or complained before final status
Hold time	share of held orders decided within 2 h
Goods released unpaid	on payments that later failed
Late refunds	after T+5: must stay at zero
NPCI limits	≤ 3 checks; none before 90 s

EXHIBIT 15 · TEST DESIGN

Unit	Merchant online; store at counters
Split	50/50
Duration	4 weeks
Decision	Keep if Saved Sales Rate rises and no guardrail crosses its agreed floor

RISKS AND LIMITS

"Pay again" could add double payments: each is linked and refunded automatically. A cashier could release goods on a payment that fails: the screen never says "paid" before the bank does. Settle times are assumed: the team's logs replace them. **Unknown from outside:** merchant share of stuck payments, real settle times, how often customers pay twice today.